

Trading First Principles Framework

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Three Core Trading Moves: 20 Years of Institutional Strategy

Summary of the video "20 Years Of Institutional Trading Knowledge In 70 Minutes (\$20M+ AUM)" by Chart Fanatics.

All profitable trading reduces to three approaches—breakouts (short-term momentum), mean reversion, and trend following—applied strategically across asset classes. Success requires understanding the Dunning-Kruger effect, edge decay, Sharpe ratio optimization, and portfolio rebalancing to compound returns while reducing volatility.

The Foundation: Why Traders Fail

Dunning-Kruger Effect in Trading

Traders experience a rapid confidence spike early (the 'peak of Mount Stupid') despite low competence, then suffer a confidence crash as they realize their mistakes. True mastery only arrives after extended struggle when competence finally matches confidence.

Trading as Pure Capitalism

Trading is a zero-sum game where every participant—hedge funds, market makers, brokers, retail traders—competes directly for money. Everyone takes fees or spreads, making the retail trader's task exponentially harder against professional capital.

The Cost of Fees Over Time

Trading fees (slippage, bid-ask spread, commissions) are often overlooked but compound into massive profit erosion. On low-expectancy strategies, fees can consume 50% or more of gross returns, making the strategy unprofitable.

Playground: Asset Class & Timeframe Strategy

Sharpe Ratio: The Institutional Metric

Sharpe ratio measures returns per unit of volatility. Institutional traders obsess over maximizing Sharpe ratio because they're paid on risk-adjusted returns, not raw profit. Retail traders should prioritize stability and lower volatility, not just returns.

Liquidity vs. Volatility Trade-off

Highly liquid assets (forex, large indices) have low volatility and low Sharpe ratios; less liquid assets (small-cap stocks, crypto) have high volatility and higher directional movement. Retail traders benefit from higher volatility but should avoid the most liquid, crowded markets.

Timeframe & Sharpe Ratio Relationship

Lower timeframes (1-hour, 5-minute) offer higher Sharpe ratios but attract more competition and require higher capital to trade profitably. Higher timeframes (daily, weekly) have lower Sharpe ratios but less competition and higher expectancy per trade.

Expectancy Increases Exponentially with Timeframe

Average return per trade grows dramatically on longer timeframes. A daily breakout strategy might yield 1.5% per trade, while the same strategy on 1-hour yields only 0.4%—making fees proportionally more damaging on short timeframes.

Avoid Overcrowded Battlefields

Retail traders should avoid highly liquid, short-timeframe markets (e.g., 1-minute forex) where institutional capital dominates. Instead, target less liquid, higher-volatility assets on longer timeframes where retail traders can compete.

Edge Decay: The Hidden Killer

All Edges Decay Over Time

Once a profitable pattern is discovered, other traders exploit it, arbitraging the edge away. Lower timeframes decay faster because less capital is needed to arbitrage them out; longer timeframes decay slower.

Decay Rate Depends on Timeframe

1-minute edges decay in weeks; daily edges decay in months or years. Longer timeframes decay slower because they require more capital to arbitrage, giving retail traders a longer window to profit.

Continuous Research is Non-Negotiable

Because edges decay, traders must constantly research and evolve their strategies. Resting on past success guarantees eventual losses as the market arbitrages away the edge.

The Three Core Trading Approaches

Short-Term Momentum (Breakouts)

Measure volatility expansion—when price moves further than average—and enter. Exit after 2–5 days or when momentum disappears. Works best on daily timeframes; typical expectancy 1.5% on crypto daily.

Mean Reversion

Measure how far price deviates from a moving average (e.g., 5-day MA). When deviation exceeds normal range (e.g., 6–7% vs. 2% average), enter expecting reversion. Exit after 1–4 days or when price returns to mean.

Trend Following (Long-Term Momentum)

Identify strong support/resistance (e.g., 100-day or 200-day high). Enter on breakout; exit when price closes below a trailing moving average (e.g., 10-day MA). Strongest edge when breaking all-time highs.

All Strategies Combine These Three

ICT, Fibonacci, and every other named approach ultimately reduce to breakouts, mean reversion, or trend following. Understanding these three first principles makes all other tools just descriptive filters.

Asset Class Strategy Matrix

Stocks: Long Bias, Trend & Mean Reversion

Stocks tend to mean-revert upward long-term. Best edges: long-term trend following and long-side mean reversion. Avoid shorting large-cap stocks; small-caps offer more inefficiency and short opportunities.

Commodities: All Approaches Work

Commodities are less efficient than stocks. Trend following, short-term momentum, and mean reversion all work. No strong directional bias like stocks.

Forex: Trend & Mean Reversion Only

Forex is the most liquid, most crowded market. Retail traders should stick to long-term trend following or mean reversion on daily+ timeframes. Avoid short-term momentum and intraday trading.

Crypto: All Approaches, All Timeframes

Crypto is the least efficient, most volatile market. All three approaches (breakouts, mean reversion, trend following) work across all timeframes. Highest volatility = highest directional movement = best retail opportunity.

Trend Following: The Most Robust Approach

Long-term trend following works across all asset classes and timeframes. It has lower Sharpe ratio (less competition from institutions) and is the safest starting point for new traders.

Portfolio Trading & Rebalancing: The Holy Grail

Diversification vs. Portfolio Trading

Diversification alone (splitting capital 50/50 between two strategies) reduces volatility but doesn't compound returns. Portfolio trading adds rebalancing—periodically resetting to original allocation—which forces you to buy low and sell high.

Rebalancing Amplifies Returns

In a simple two-strategy example, diversification alone yields $20K \rightarrow 25K \rightarrow 20K$ (no net gain). With rebalancing, the same strategies yield $20K \rightarrow 25K \rightarrow 31.25K$. Rebalancing is the only true 'holy grail' in trading.

Non-Correlated Strategies Maximize Sharpe Ratio

Combining strategies with low or negative correlation reduces overall volatility while maintaining returns. Portfolio Sharpe ratio grows as you add more uncorrelated strategies, matching or exceeding the stability of short-timeframe trading.

Build a Multi-Strategy Portfolio

Advanced traders should combine 3+ strategies across different asset classes and timeframes (e.g., short-term momentum on commodities, mean reversion on forex, trend following on stocks). Rebalance monthly or quarterly to lock in gains.

Rebalancing Frequency

Institutional traders rebalance daily; retail traders can rebalance weekly or monthly. More frequent rebalancing captures more mean reversion opportunities but requires more discipline.

Practical Takeaways for Retail Traders

Maximize Edge, Minimize Competition

The core task: find your edge and trade it as large as possible before it decays. Avoid overcrowded markets (1-minute forex, S&P 500 intraday). Target less liquid, higher-volatility assets on longer timeframes.

Holding Time Matters More Than Timeframe

A 5-minute decision held for 3 days has the same expectancy as a daily decision held for 3 days. Focus on holding time, not chart timeframe, to maximize expectancy and minimize fee impact.

Tools Are Descriptive, Not Predictive

Moving averages, RSI, Fibonacci—these are just ways to describe market conditions (momentum, mean reversion, trend). Understanding the concept first, then using tools to confirm, beats chasing the latest indicator.

Start with Trend Following

If unsure what to trade, begin with long-term trend following across multiple assets. It's the most robust approach, has lower competition, and teaches the fundamentals of risk management and position sizing.

Scale Through Portfolio, Not Leverage

Don't increase leverage to scale; add more uncorrelated strategies and rebalance. This compounds returns while reducing volatility, matching institutional-grade risk-adjusted performance.

Notable quotes

Pretty much all trading strategies boil down to these three specific moves. — Harvell Key

Once you find a good trading edge, what's your second biggest task? Trade your edge as high size as possible to make as much money of that before someone else steps in. — Harvell Key

Trading is the purest form of capitalism and that's something most traders don't realize. — Harvell Key

Action items

Identify your current trading timeframe and asset class; compare against the liquidity/volatility matrix to assess competition level.

Calculate your average trading costs (slippage + fees) as a percentage and compare to your strategy's expectancy per trade.

Backtest your primary strategy on a longer timeframe (e.g., daily instead of 1-hour) to measure the increase in expectancy and fee impact reduction.

Design a second non-correlated strategy (different asset class or approach) and paper-trade both together with monthly rebalancing.

Document your edge decay hypothesis: predict when your current strategy will become unprofitable and schedule quarterly research reviews.

Build a portfolio of 3+ strategies across different asset classes (e.g., trend following on stocks, mean reversion on forex, momentum on commodities) and implement monthly rebalancing.

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